

Instructor's Resource Manual (Download
Only) for International Economics:
Theory and Policy

Revised by
Hisham Foad & Mike Casey

International Economics:
Theory and Policy
Twelfth Edition

Paul R. Krugman
Maurice Obstfeld
Marc J. Melitz



This work is protected by United States copyright laws and is provided solely for the use of instructors in teaching their courses and assessing student learning. Dissemination or sale of any part of this work (including on the World Wide Web) will destroy the integrity of the work and is not permitted. The work and materials from it should never be made available to students except by instructors using the accompanying text in their classes. All recipients of this work are expected to abide by these restrictions and to honor the intended pedagogical purposes and the needs of other instructors who rely on these materials.

Please contact <https://support.pearson.com/getsupport/s/contactsupport> with any queries on this content.

Copyright © 2022, 2018, 2015 by Pearson Education, Inc. or its affiliates, 221 River Street, Hoboken, NJ 07030. All Rights Reserved. Manufactured in the United States of America. This publication is protected by copyright, and permission should be obtained from the publisher prior to any prohibited reproduction, storage in a retrieval system, or transmission in any form or by any means, electronic, mechanical, photocopying, recording, or otherwise. For information regarding permissions, request forms, and the appropriate contacts within the Pearson Education Global Rights and Permissions department, please visit www.pearsoned.com/permissions/.

PEARSON and MYLAB are exclusive trademarks owned by Pearson Education, Inc. or its affiliates in the U.S. and/or other countries.

Unless otherwise indicated herein, any third-party trademarks, logos, or icons that may appear in this work are the property of their respective owners, and any references to third-party trademarks, logos, icons, or other trade dress are for demonstrative or descriptive purposes only. Such references are not intended to imply any sponsorship, endorsement, authorization, or promotion of Pearson's products by the owners of such marks, or any relationship between the owner and Pearson Education, Inc., or its affiliates, authors, licensees, or distributors.

ISBN-10: 0135767040
ISBN-13: 9780135767047



Table of Contents

Chapter 1	Introduction	1
Chapter 2	World Trade: An Overview	3
Chapter 3	Labor Productivity and Comparative Advantage: The Ricardian Model	7
Chapter 4	Specific Factors and Income Distribution	14
Chapter 5	Resources and Trade: The Heckscher-Ohlin Model	23
Chapter 6	The Standard Trade Model	31
Chapter 7	External Economies of Scale and the International Location of Production	40
Chapter 8	Firms in the Global Economy: Export and Foreign Sourcing Decisions and Multinational Enterprises	46
Chapter 9	The Instruments of Trade Policy	55
Chapter 10	The Political Economy of Trade Policy	64
Chapter 11	Trade Policy in Developing Countries	73
Chapter 12	Controversies in Trade Policy	77
Chapter 13	National Income Accounting and the Balance of Payments	84
Chapter 14	Exchange Rates and the Foreign Exchange Market: An Asset Approach	93
Chapter 15	Money, Interest Rates, and Exchange Rates	105
Chapter 16	Price Levels and the Exchange Rate in the Long Run	114
Chapter 17	Output and the Exchange Rate in the Short Run	123
Chapter 18	Fixed Exchange Rates and Foreign Exchange Intervention	135
Chapter 19	International Monetary Systems: A Historical Overview	146
Chapter 20	Financial Globalization: Opportunity and Crisis	157
Chapter 21	Optimum Currency Areas and the Euro	166
Chapter 22	Developing Countries: Growth, Crisis, and Reform	176